

Walker & Dunlop's \$232M Fannie Mae Loan Shows Multifamily Is Refinancing, Not Buying

A single 10-year, interest-only credit facility for workforce housing reveals where agency liquidity is flowing and why.

Inside the \$232 million financing

\$232 million

Debt / financing

585 units

Portfolio scale

It is the lender

The most important number in Walker & Dunlop's \$232 million financing for Aspen Square Management is not the loan amount. It is the lender. Fannie Mae wrote a single 10-year, fixed-rate, interest-only credit facility against five workforce housing properties totaling 1,585 units across Arkansas and Florida. The deal is not a vote of confidence in multifamily broadly. It is a vote of confidence in this borrower, this basis, and this income stream.

The transaction matters because it shows where agency liquidity is flowing in mid-2026

Walker & Dunlop Capital Markets Real Estate Finance arranged the financing on behalf of longtime client Aspen Square Management. Connor Locke, Harvey Pava, Brendan Coleman and Skye Stansbury secured the loan through a new Tier 3 Fannie Mae credit facility. The portfolio consists primarily of workforce housing and includes one income-restricted affordable housing community. The transaction matters because it shows where agency liquidity is flowing in mid-2026.

It carries lower vacancy risk in a high-rate environment because demand is driven

It is not flowing into speculative development or value-add repositioning. It is flowing into stabilized, income-producing assets with a social underwriting angle that Fannie Mae can defend to its regulator. Workforce housing is the sweet spot of the current agency lending cycle. It offers rent growth tied to wage growth, not luxury amenity competition. It carries lower vacancy risk in a high-rate environment because demand is driven by necessity, not lifestyle choice.

A 10-year, fixed-rate, interest-only loan means Fannie Mae is not demanding amortization

And it gives Fannie Mae a mission-aligned narrative that justifies deploying capital when private lenders are pulling back. The interest-only structure is the second signal. A 10-year, fixed-rate, interest-only loan means Fannie Mae is not demanding amortization. That is a concession to the borrower, but it is also a recognition that the market does not need more principal paydowns right now.

It needs liquidity that preserves cash flow for operations and future capital needs

It needs liquidity that preserves cash flow for operations and future capital needs. Aspen Square Management benefits directly. The borrower gets long-term rate certainty, no amortization drag, and a single credit facility that covers five assets. That simplifies asset management and reduces refinancing risk across the portfolio. The borrower is not buying time. It is buying structure. Fannie Mae benefits too.

The agency is not taking construction risk or lease-up risk

It deploys capital into a diversified pool of workforce housing assets with a sponsor that has a long track record. The agency is not taking construction risk or lease-up risk. It is taking stabilized cash flow risk with a borrower who has proven it can operate through a cycle. Walker & Dunlop benefits as the intermediary. The firm demonstrates its ability to originate large, complex agency transactions for repeat clients.

Those assets compete for private-label debt, which remains expensive and selective

In a market where origination volume is compressed, every deal like this reinforces the firm's position as the dominant agency lender. Who is exposed? Owners of Class B and C multifamily without agency-eligible income restrictions or workforce housing characteristics. Those assets compete for private-label debt, which remains expensive and selective. The bifurcation in multifamily debt markets is not between good and bad assets.

The deal also reveals something about the broader transaction market

It is between assets that fit an agency box and assets that do not. The deal also reveals something about the broader transaction market. This is a refinancing, not an acquisition. Aspen Square is not buying new assets. It is optimizing the capital stack on assets it already owns. That is the dominant capital markets activity in multifamily right now. Owners are not trading. They are refinancing, extending, and waiting.

The question for every other multifamily owner is whether their assets qualify

The next phase of the market will not be defined by who owns the best story. It will be defined by who controls the cheapest capital. Fannie Mae is providing that capital for workforce housing. The question for every other multifamily owner is whether their assets qualify.

Why it matters

A 10-year, fixed-rate, interest-only loan means Fannie Mae is not demanding amortization.

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